

In short, it appears the evidence for momentum is best described by the strongest supporters of EMH. Eugene Fama and Ken French, in their 2008 paper, “Dissecting Anomalies,” state that momentum is “pervasive.”¹⁸ Today, researchers are going even further by applying behavioral finance concepts in order to understand psychological factors that drive the momentum effect. In “Demystifying Managed Futures,” Brian Hurst, Yao Hua Ooi, and Lasse Heje Pedersen argue that the returns for even the largest and most successful managed futures funds and CTAs can be attributed to momentum strategies.¹⁹ They also discuss a model for the lifecycle of a trend, and then draw on behavioral psychology to hypothesize the cognitive mechanisms that drive the underlying momentum effect. [Figure 8.3](#) shows a graph from their paper of a typical trend.

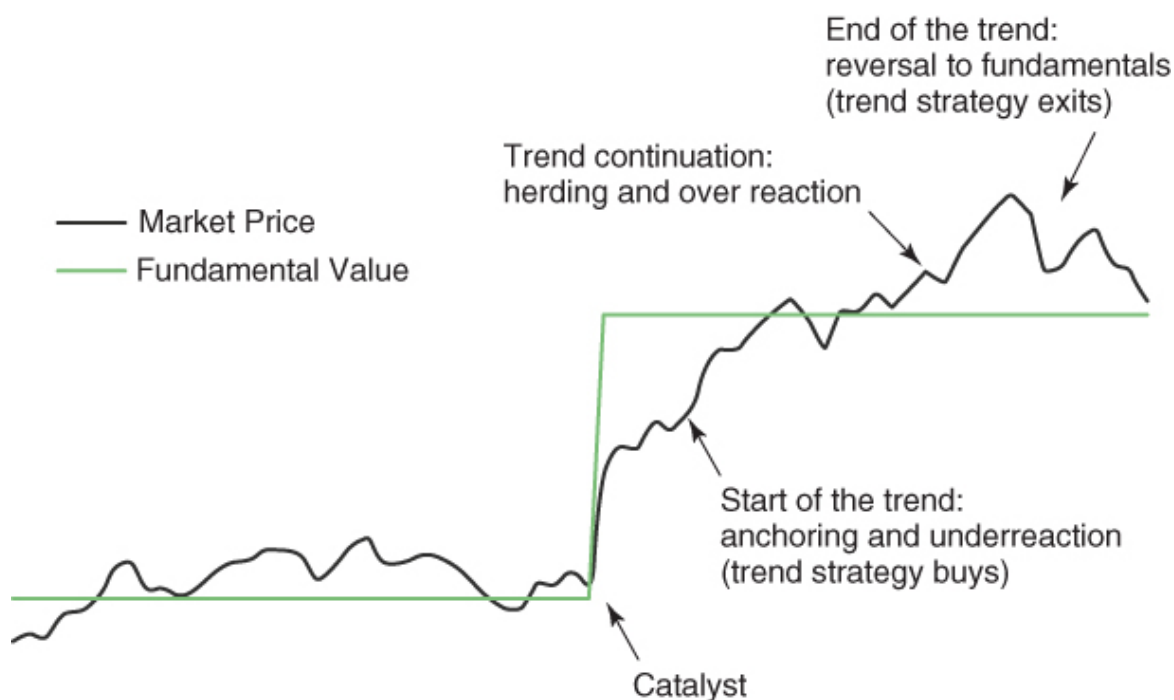


Figure 8.3 Lifecycle of a Trend

Note that there are several distinct components to the trend: (1) initial underreaction, when market price is below fundamental value; (2) overreaction, as the market price exceeds fundamental value, and (3) the end of the trend, when the price converges with fundamental value. There are several behavioral biases that may systematically contribute to these components.